

POLICY & REGULATION

# Hudson Yards' 3,950-Unit Plan Tests Whether State Power Can Solve New York's Housing Math

Empire State Development's approval bypasses local zoning, but the capital stack still depends on rents, construction costs, and debt markets.

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A source-grounded Light Tower Insight.

The most revealing number in the plan for 3,950 housing units north of Hudson Yards is not the unit count. It is the approval mechanism. Empire State Development is advancing the project through a state-level General Project Plan, which bypasses New York City's zoning and land-use review. That procedural choice tells you more about the capital math than any rendering.

The conventional reading is straightforward: New York is finally building at scale. Two towers at 400 Eleventh Avenue totaling 2,400 units, a third at 418 Eleventh Avenue with 1,550 units, plus a 36-story hotel. Nearly 1,200 affordable units. A combined 103,300 square feet of retail. The project is large, ambitious, and backed by a public authority with eminent domain power and environmental review already underway.

But the market signal is narrower. ESD is using its authority because the conventional development path cannot deliver this density at a price the city's political system would accept. The Uniform Land Use Review Procedure would take years, invite community opposition, and impose conditions that would further compress already thin returns. State-level approval compresses the timeline and reduces entitlement risk. That matters because time is the most expensive input in large-scale development right now.

The capital stack for a project of this size is not yet built. The reported facts are limited: the developer teams are Hudson Boulevard Collective for Site K, a partnership of BRP Companies, BXP, The Moinian Group, and Urbane Development, and BP/M 3HB LLC for Site 3HB. The Moinian Group originally bought the 3HB parcel from Verizon for \$54 million in 2005. Construction on the originally planned commercial tower broke ground in 2017 and stopped in 2020 after the ground-floor slab was completed. That foundation is now being repurposed for residential.

That history matters. The 3HB site was originally planned as a commercial skyscraper, 3 Hudson Boulevard. The market for large-block Manhattan office space collapsed after 2020,

and the foundation sat idle. Repurposing it for residential avoids writing down the sunk cost entirely, but it also means the new structure must accommodate an existing foundation designed for a different building. That constraint adds cost and complexity.

The affordable component is 1,185 units, or 30 percent of the total. That is a meaningful public benefit, but it also means the market-rate units must subsidize the below-market ones. In a 900-foot tower with 2,400 units, the math works only if the market-rate rents are high enough to cover the construction debt, operating costs, and the cross-subsidy. The hotel component at Site K adds another layer: 400 rooms tied to the Javits Center convention demand. Hotel construction financing remains expensive and selective. Lenders want proven operators, strong brand flags, and a clear demand thesis. The Javits adjacency helps, but convention traffic is seasonal and sensitive to economic cycles.

The retail component, 103,300 square feet across both sites, is the hardest piece to finance. Large-format retail in Manhattan is still repricing. Tenants are smaller, rents are lower, and vacancy in the Hudson Yards submarket is not zero. The retail will likely be designed for experiential concepts, food and beverage, and services tied to the residential population. But the underwriting will be conservative.

The parking garages, 81,300 square feet, are a relic of an earlier planning era. New York City has been moving away from parking minimums, and the environmental review will likely face scrutiny on this point. But the garages also represent a revenue stream that lenders can underwrite, even if it is politically unpopular.

The cast of parties reveals the incentive map. ESD wants to demonstrate that state-level authority can deliver housing at scale. The developers want to build at a basis that pencils. The city wants units without having to fight the zoning battles itself. The lenders, who are not yet named, will want to see pre-sales, pre-leases, and a capital stack that includes meaningful equity. The affordable housing component will likely be financed through tax-exempt bonds and 4 percent Low-Income Housing Tax Credits, which are competitive and subject to allocation caps.

The open question is whether the market-rate rents can support the construction debt. Hard costs for high-rise residential in Manhattan are running \$600 to \$800 per square foot. Soft costs, financing costs, and the affordable cross-subsidy push the total higher. At 2,400 units in a 900-foot tower, the average unit size is likely small, which helps the per-unit economics but limits the rent ceiling. The hotel and retail add revenue but also add execution risk.

The project is not a bet that New York's housing market will boom. It is a bet that the state's ability to control the approval process can reduce enough risk to make the capital stack work. That is a narrower thesis than the headline suggests. The market should test whether the developers can secure construction financing at terms that reflect the reduced entitlement risk, or whether the lenders will still demand a premium for the project's sheer scale and complexity.

The next phase of this story will not be written in the environmental impact statement. It will be written in the debt markets, where the cost of capital will decide whether 3,950 units become a foundation or a rendering.